

DISCLOSURE DOCUMENT

As required under Regulation 14 of the SEBI (Portfolio Managers) Regulations,1993

This document supersedes all earlier Disclosure Document filed with SEBI.

This Document has been filed with the Securities Exchange Board Of India along with the certificate in the prescribed format in terms of Regulation 14 of the SEBI (Portfolio Managers) Regulations, 1993

The purpose of the Document is to provide essential information about the portfolio services in a manner to assist and enable the investors in making informed decision for engaging a Portfolio Manager.

This document contains all the necessary information about the Portfolio Manager required by an investor before investing, and the investor is advised to retain the document for future reference.

All the intermediaries involved in the Portfolio Management Services are registered with SEBI as on the date of the document

The name, phone number, e-mail address of the principal officer so designated by the portfolio manager is

Mr. Nailesh P. Dalal
Principal Officer (Director)
Dalal & Broacha Stockbroking Pvt. Ltd
506 Maker Chamber V
221 Nariman Point
Mumbai 400 021
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1. Disclaimer

These particulars have been prepared in accordance with the SEBI (Portfolio Managers) Regulations, 1993 and filed with SEBI. This Document has neither been approved or disapproved by SEBI nor has SEBI certified the accuracy or adequacy of the contents of the Document.

2. Definitions

Unless the context or meaning thereof otherwise requires, the Following expressions Shall have the meaning assigned to them hereunder respectively:

“Agreement” means Client Broker agreement and shall include all schedules and annexure attached thereto

“Portfolio Manager” means any person who pursuant to a contract or arrangement with a client, advises or directs or undertakes on behalf of the Client (whether as discretionary portfolio manager or otherwise) the management or administration of the portfolio of securities or the funds of the Client, as the case may be.

“Discretionary Portfolio Management Services” means the portfolio management services rendered to the client, by the Portfolio Manager on the terms and conditions contained in the Agreement, where under, the Portfolio Manager exercises any degree of discretion in investments or management of assets of the Client.

“Non-Discretionary Portfolio Management Services” means the portfolio management services rendered to the client, by the Portfolio Manager on the terms and conditions contained in the Agreement, where under, the Portfolio Manager discretion in investments or management of assets of the Client. And the discretion is left to the client.

“Application” means the application made by the Client to the Portfolio Manager to place the monies and/or securities therein mentioned with the Portfolio Manager for Discretionary Portfolio Management Services.

“Assets” means (i) the Portfolio and/or (ii) the Fund.

“Bank Account” means one or more accounts opened, maintained and operated by the Portfolio Manager with any of the Scheduled Commercial Banks in the name of the Client.

“Depository Account” means one or more account or accounts opened, maintained and operated by the Portfolio Manager in the name of the Client with any depository participant, registered under the SEBI (Depositories and Participants) Regulations 1996.

“Custodian” means any person who carries on or proposes to carry on the business of providing custodial services.

“Funds” means the monies managed by the Portfolio Manager on behalf of the Client pursuant to this Agreement, and includes the monies mentioned in the Application, any further monies placed by the Client with the Portfolio Manager for being managed, pursuant to this Agreement, the proceeds of the sale or other realization of the Portfolio and interest, dividend or other monies arising from the Assets, so long as the same is managed by the Portfolio Manager.

“Net Asset Value” (NAV) is the market value of assets in portfolio consisting of equity, debt, mutual fund investment, cash and cash equivalents.

“Parties” means the Portfolio Manager and the Client, and **“Party”** shall be construed accordingly.

“Person” includes any individual, partners in partnership, central or state government, company, body corporate, cooperative society, corporation, trust, society, Hindu Undivided Family or any other body of persons, whether incorporated or not.

“Portfolio” means the Securities managed by the Portfolio Manager on behalf of the Client pursuant to this Agreement, and includes any Securities mentioned in the Application, any further Securities placed by the Client with the Portfolio Manager for being managed pursuant to the Agreement, Securities acquired by the Portfolio Manager through investment of Funds and bonus and right shares in respect of Securities forming part of the Portfolio, so long as the same is managed by the Portfolio Manager.

“Portfolio Management Fees” shall have the meaning attributed thereto in Clause 5 below.

“Regulations” means the Securities and Exchange Board of India (Portfolio Managers) Regulations, 1993, as may be amended from time to time.

“Rules” means Securities and Exchange Board of India (Portfolio Managers) Rules, 1993, as may be amended from time to time.

“Scheduled Commercial Bank” means any bank included in the second Schedule to the Reserve Bank of India Act, 1934 (2 of 1934)

“SEBI” means the Securities and Exchange Board of India established under Sub-Section (1) of Section 3 of the Securities and Exchange Board of India Act.

“Securities” includes

securities as defined under the Securities Contracts (Regulation) Act, 1956

shares, scrip's, stocks, bonds, warrants, convertible and non-convertible debentures, fixed return investments, equity linked instruments, negotiable instruments, deposits, money market instruments, commercial paper, certificates of deposit, units issued by the Unit Trust of India and /or by any mutual funds, mortgage backed or other asset backed securities, derivatives, derivative instruments, options, future, foreign currency commitments, hedges, swaps or netting off and any other securities issued by any company or other body corporate, any trust, and entity, the Central Government, any State Government or any local or statutory authority and all money rights or property that may at any time be offered or accrue (whether by rights, bonus, redemption, preference, option or otherwise) and whether in physical or dematerialized form in respect of any of the foregoing or evidencing or representing rights or interest therein; and any other instruments or investments (including borrowing or lending of securities) as may be permitted by applicable law, from time to time.

3. History, Present Business and Background of the Portfolio Manager

With more than four decades of experience behind us, we at Dalal & Broacha, are today one of the leading Stock Brokers of India. The company is incorporated under the Companies Act, and is a member of the Stock Exchange, Mumbai as well as holds a seat on the National Stock Exchange on both the capital market as well as the derivatives segment and Wholesale Debt Market Segment. On the Institutional side we do business with most of the Indian Financial Institutions, the firm's satisfied client base is its main driving force.

Efficiency, integrity and transparency in transaction has helped build trust, the raison dieter of the long-standing close customer relationships we cherish. Our customers rely completely on our principles of constant innovation and consistency of performance. In keeping with these principles we have successfully serviced our diverse client base, which includes many Indian Financial Institutions, some Corporates, Banks, Mutual Funds as well as Foreign Institutional Investors. In addition our customer base includes about seven thousand retail customers including Non-Resident Indians. We pride ourselves for being amongst the first to service the FII clients when the markets opened further in 1993.

4. Promoters, Directors and their background

Mr. Nailesh Dalal

A Bachelor of Commerce and a management diploma holder, his strength lies in understanding people, whether employees or customers. In the field for the last thirty one years, his excellence in people management skills is a definite advantage to the firm.

He handles the firm's retail broking as well as its finance functions. For the last ten years his focus has been individual investors. His skill lies in identifying the financial needs of an individual client and suggesting an investment strategy that is suitable for his needs.

Mr. Vipul Dalal

Dalal & Broacha's strong institutional relationships, built over the last twenty four years, are due to the efforts of Vipul Dalal. The firm's focus on institutional business increased after he joined the firm. The place the firm has made amongst its institutional buyers is solely due to his efforts.

His role in research is to study the business environment in the country and to take a broader view of the economy. This in combination with sector or company specific view of the research department helps the firm to device an investment strategy for the Institutional as well as HNI investor.

Mr. Parimal Merchant

Mr. Parimal Merchant is a Cost Accountant & Law Graduate & is a Management Consultant. He is a faculty member of S. P. Jain Institute of Management & brings a rich diversified knowledge of various businesses with him. He has thirty years of experience as a management consultant. Prior to this he has worked in the stock market for five years with Sushil Financial Consultants Ltd. Member BSE.

5. The Other Associated firms of Dalal & Broacha are

Central Finance Securities Pvt Ltd

RBI approved NBFC without Public Fixed Deposit. However, the main area of business is dealing in debt.

Neelhari Holdings Pvt Ltd

It is predominantly into investments & Trading in Equity

Dalal & Broacha Commodities Pvt. Ltd.

It has Registration with MCX for doing commodities business as on date.

It has Registration with NCDEX for doing Commodity business as on date.

It has yet to Commence transactions on the NCDEX.

6. PMS Services being offered by Dalal & Broacha Stockbroking Pvt. Ltd

The services being offered under discretionary management would be predominantly equity oriented with leeway to the fund manager to park the funds in any other instrument till such time as these funds are deployed in equity. Under both the services corpus for investing will be accepted only by cross account payee cheque.

The pure advisory services would entail a thorough **one time analysis** of the portfolio and advising the client on his investments after understanding his investment goals.

Details of Services Offered

Pure Advisory

This services is targeted towards small investors This would entail a thorough **one time analysis** of the portfolio and advising the client on his investments after understanding his investment goals.

Long term growth.

This services would focus on long term investment. Focus would be to deliver superior returns by investing in Good businesses with decent management at reasonable price. The holding period/ duration of the PMS should be at least two-three years.

The benchmark index would be NSE Nifty.

Dynamic Growth

This services would be a more dynamic plan than the Long term Plan. It would be a combination of short term as well as long term opportunities. The investment decision would be driven by technical as well as fundamental factors in this services.

This would specifically be for people who understand the risk of the strategy and are comfortable with the strategy.

The benchmark index would be NSE Nifty

Mutual Fund PMS Services

Under this services, the portfolio manager will invest into various mutual fund services across asset classes. Whether listed or unlisted. The fund would have leeway to park the funds in any mutual fund services whether debt, equity or any other asset class. Corpus for investing will be accepted only by cross account payee cheque.

The benchmark index for the services would be NSE Nifty.

Aggressive Long Term Capital Appreciation PMS Services

Under this services, the portfolio manager will invest to achieve aggressive long term capital appreciation by investing in companies with the following characteristics:

Market Dominance. We will principally focus on companies that are market leaders in their segment

Entry Barriers. We look to invest in companies that have high entry barriers.

Management. Superior management is a must.

Financial efficiencies. We will principally invest in companies which have high returns on capital employed over extended periods of time.

Low debt. We will avoid companies with high leverage.

Dividend track record. We will look out for companies with a superior long term dividend record.

Low valuations. High margin of safety. We will look out for valuation where our entry point is low valuations. We rarely acquire a stock where our margin of safety is low.

Low turnover. Typically, We would tend to own a stock for at least 4-5 years.

Out of Fashion. We would invest in stocks and industries that are not in favor and are virtually forgotten.

Entry point on low volumes. We would invest in forgotten stocks. They tend to have relatively low trading volumes.

Key macro trends. We would also look for stocks that will capture key macro growth trends.

The Benchmark for the services would be the **NIFTY INDEX**

Fee Structure

There will not be any management fees for the services as the company would be entitled to a commission from the mutual funds in whose services it would invest.

SCHEDULE OF FEES

The Client shall pay to the Portfolio Manager as per selection of the Portfolio Management Fees as hereunder provided:

Discretionary Services:

☐ **A) For Pure Advisory Services**

A fixed advisory fee of 1% of the portfolio or Rs.1000 whichever is higher would be charged

☐ **B) For PMS, where only fixed management fee is opted for, the fee would be as follows** **Fixed Management Fee**

- A Fixed Management Fee of 2 % per annum is chargeable based on opening NAV.
- The Fixed Management Fee is payable upfront, for a period of one year, on signing of the Portfolio Investment Management Agreement.
- There would be no minimum tenure prescribed for any of the portfolio management services offered by the Portfolio Manager.
- The Fixed Management Fee on renewal is chargeable based on quarterly closing NAV.
- The Fixed Management Fee is payable, notwithstanding any withdrawals within the period of one year.

☐ **C) For PMS, where fixed management fee and performance based fee is opted for, the fee would be as follows**

Fixed Management Fee

- A Fixed Management Fee of 1 % per annum is chargeable based on opening NAV.
- The Fixed Management Fee is payable upfront, for a period of one year, on signing of the Portfolio Investment Management Agreement.
- There would be no minimum tenure prescribed for any of the portfolio management services offered by the Portfolio Manager.
- The Fixed Management Fee on renewal is chargeable based on quarterly closing NAV.
- The Fixed Management Fee is payable, notwithstanding any withdrawals within the period of one year.

In addition to the fixed fee, the following performance based fee will also be charged if this option has been chosen by the client

Performance Fee

- A Performance Fee is chargeable on Profits, based on closing NAV, 12 months from the date of inception of the client.
- Performance Fees are chargeable @ 10% of Profits.
- NAV is calculated as: Market value of portfolio + Cash + Dividend/Interest/Other receivables-Liabilities.
- For e.g. Initial corpus Rs 1 Cr
Management Fee Rs 1 Lakh
Closing NAV 12 months from date of inception Rs. 1.5 Cr
Profit Rs 50 Lakhs
Performance Fee 10% of Profit
Hence, Performance Fee 10% of 50 Lakhs i.e. Rs 5 Lakhs

- Performance Fee for year 2 is applicable on the basis of the “high watermark” principle i.e. Performance Fee is applicable only on the increase in NAV in excess of the closing NAV of year 1.

Year 1		
ANNUAL FEES		
Amount Invested	5,000,000	
Closing NAV	6,000,000	
Annual Fixed fee @ 2%		100,000
PERFORMANCE FEES		
Amount Invested	5,000,000	
Closing NAV	6,000,000	
Profit	1,000,000	
Performance Fees @10% of profits		100,000

Year 2		
ANNUAL FEES		
Q1		
Opening NAV	6,000,000	
NAV at the end of Q1	5,500,000	
Fees @0.5%		27,500
Q2		
Opening NAV	5,500,000	
NAV at the end of Q1	5,000,000	
Fees @0.5%		25,000
Q3		
Opening NAV	5,000,000	
NAV at the end of Q1	5,700,000	
Fees @0.5%		28,500
Q4		
Opening NAV	5,700,000	
NAV at the end of Q1	5,400,000	
Fees @0.5%		27,000
TOTAL ANNUAL FEE		108,000

Year 2

PERFORMANCE BASED FEES		
Opening NAV	6,000,000	
Closing NAV	5,400,000	
Profit	(600,000)	
Performance Fees @10% of profits (on higher water mark)		0

☐ **D) For PMS, where Aggressive long term capital appreciation PMS Services, the fee would be as follows**

Fixed Management Fee

The Fixed fees for this services would be 1 percent annual charge on assets under management on the basis of opening corpus for the first year (payable at 0.25% every quarter) and thereafter from the subsequent year 0.25 percent charged on closing NAV every quarter.

Performance Fee

In addition to the above, there would also be a performance fee payable on redemption which would be equal to 10 percent of the outperformance compared to the benchmark Nifty Index on redemption.

EXAMPLE OF FEES PAYABLE

ANNUAL FEES			
	Year 1		
Amount Invested	50,00,000		
NIFTY	5,000		
Closing NAV	75,00,000		
Fees for year 1		50,000	
	Year 2		
Opening NAV	75,00,000		
Q1 closing NAV	65,00,000		
Fees for Q1		16,250	
Q2 Closing NAV	70,00,000		
Fees for Q2		17,500	
Q3 Closing NAV	60,00,000		
Fees for Q3		15,000	
Q4 Closing NAV	85,00,000		
Fees for Q4		21,250	
TOTAL ANNUAL FEES PAID IN TWO YEARS			1,20,000

**CALCULATION OF PERFORMANCE FEES IF PORTFOLIO REDEMED AFTER 2 YEARS
IF PORTFOLIO OUTPERFORMS THE BENCHMARK**

Case 1 NAV SAY (after 2 years)	85,00,000	
NIFTY	7,800	
Percentage Increase in Nifty Value	56	
Percentage Increase in Portfolio Value	70	
Outperformance to Nifty	14	
Performance Fees @10% of Outperformance	1.40	
TOTAL PERFORMANCE FEES		70,000

IF PORTFOLIO UNDERPERFORMS THE BENCHMARK

Case 2 NAV SAY (after 2 years)	65,00,000	
NIFTY	7,800	
Percentage Increase in Nifty Value	56	
Percentage Increase in Portfolio Value	30	
Performance lower than Nifty therefore no performance fee payable	-	
TOTAL PERFORMANCE FEES		-

7. The expenses that the client will have to incur in case of the discretionary services would be as follows

- **Investment management and advisory fees as detailed above**
- **Custodian fee**
These would be payable to the depository participant with whom an account is maintained. Dalal & Broacha Stockbroking Pvt. Ltd. is a depository participant of the CDSL and will act as the custodian for the client. The fees payable for custody charges payable to the Depository department of Dalal & Broacha Stockbroking Pvt. Ltd. would be in addition to the management fees as mentioned above.
- **Registrar and transfer agent fee**
Though physical delivery and transfer of securities has been eliminated in most of the cases, If an investment is made in a security where physical delivery and transfer of security is necessary, any charges pertaining to the same will be borne by the client.
- **Brokerage and transaction cost**
In addition to all the above costs, any charges incidental to buying and selling of securities such as brokerage and other transaction costs would be borne by the client. For the sake of confidentiality as well as convenience, Dalal & Broacha stock broking Pvt. Ltd. may route most/all of the transactions through its broking division.

8. Risk factors

Securities investments are subject to market risk and there is no assurance or guarantee that the objectives of the services will be achieved.

Past performance of the portfolio manager does not indicate the future performance of the same services in future or any other future services of the portfolio manager.

The Investment would also carry risk arising from the investment objective, investment strategy and asset allocation. Being a predominantly equity oriented services there would be risk arising out of non diversification.

9. Financial Results of Dalal & Broacha Stockbroking Pt. Ltd

Following are the Audited Financial Results of Dalal & Broacha Stock Broking Pvt Ltd for the past three years.

Particulars	2012-2013	2011-12	2010-11
	Rs. Lakhs	Rs.Lakhs	Rs. Lakhs
Total Income	1831.21	1814.65	2094.19
Total Expenditure	1030.18	958.03	1058.71
Profit After Tax	599.29	659.44	770.12

10. Portfolio Performance:

Assets under Management:

Services	As on 31.03.2013	As on 31.03.2012	As On 31.03.2011
	Rs.Lakhs	Rs.Lakhs	Rs. Lakhs
Long Term Growth	4171.80	3492.08	2808.25
Aggressive Long term Capital Appreciation	816.11	-	-

Portfolio Management Performance;

Services	2012-13	2011-12	2010-11
Long Term Growth-Weighted Return	6.55	-0.73	11.53%
Benchmark Index: Sensex	7.67	-9.37	10.87%

Services	2012-13
Aggressive Long term Capital Appreciation	-27.89
Benchmark Index: Sensex	-9.54

11. Disciplinary action by regulatory authorities

We confirm that there have been no Penalties, pending litigation or proceedings, findings of inspection or investigations for which action may have been taken or initiated by any regulatory authority.

12. Taxation

- **Short Term capital gains**

From assessment year 2005-06 and onwards, in the case of an assessee, any income arising from the transfer of a short-term capital asset, being an equity share in a company or a unit of an equity oriented fund and the transaction of sale of such equity share or unit is entered into through recognized stock exchange on or after the date on which the Securities Transaction Tax comes into force i.e., on or after 1-10-2004 and such transaction is chargeable to securities transaction tax, such short-term capital gains will be taxed at the flat rate of 10% as I.T. The total (taxable) income as reduced by such short-term capital gains and long-term capital gains, income-tax on such reduced total income is payable at the applicable scheduled rates. The aggregate of income-tax is to be increased by S.C. on I.T., if any, and addl. S.C. on I.T. & S.C.

In the case of individual or a HUF, being a resident, where the total (taxable) income as reduced by such short-term capital gains, is below the exemption limit, such short-term capital gains will be reduced to the extent of short-fall and the balance of said short-term capital gains will be subject to flat rate of income-tax @ 10%

From Financial year 2008-09 rate of short-term capital gain is increased to 15% from 10%.

- **Long Term Capital Gains**

From assessment year 2005-06 and onwards, any income arising from the transfer of a long-term capital asset, being an equity share in a company or a unit of an equity oriented fund is exempt u/s. 10(38), where the transaction of sale of such equity share or unit is entered into through recognized stock exchange on or after the date on which the Securities Transaction Tax comes into force i.e., on or after 1-10-2004 and such transaction is chargeable to securities transaction tax under that Chapter.

13. Accounting Policy

We would follow the FIFO (first in first out) method of accounting for calculation of capital gains on securities sold.

14. Investor Services

- **For any queries or complaints please contact**

Mrs. Aarti Hande
506, Maker Chamber V,
Nariman Point,
Mumbai - 400 021
Tel: 22822992 ext:159
Email: pms@dalal-broacha.com

15. Dispute and grievance settlement mechanism

All disputes, differences, claims and questions, whatsoever, which shall arise either during the subsistence of the agreement with the client or afterwards, with regard to the terms thereof or any clause or thing contained therein or otherwise in any way relating to or arising there from or the interpretation of any provisions therein shall be, at the first instance, settled by mutual discussions, failing which the same shall be referred settled in accordance with the provisions of the Arbitration and conciliation Act, 1996 in the form existing at the point of time. Such arbitration proceedings will be held at Mumbai or any other place where the Portfolio Manager thinks fit and will be conducted in English.

The agreement with the Client shall be governed by, construed and enforced in accordance with the laws of India. Any action or suit involving the agreement with a Client or the performance of the agreement by either party of their obligations will be conducted exclusively in Courts located within the city of Mumbai in the state of Maharashtra, India.

For Dalal & Broacha Stock Broking Pvt. Ltd

Nailesh Dalal
Director
Mumbai : 31/03/2013

Vipul Dalal
Director

Parimal Merchant
Director